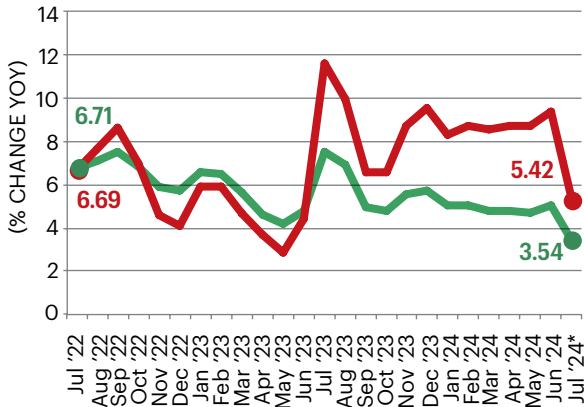


TRACKING RETAIL INFLATION

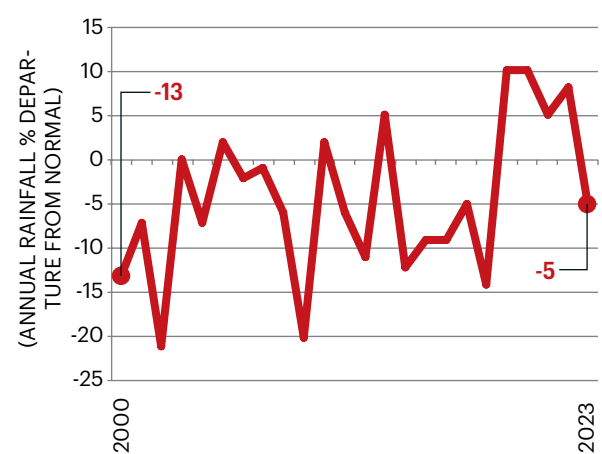
● Between June 2020 and June 2024, 57% of months saw food inflation of 6% or more ● Retail food inflation eased in July, but that was partly due to a high base



● CPI INFLATION ● CFPI
CFPI: CONSUMER FOOD PRICE INDEX; *PROVISIONAL
SOURCE RBI, MoSPI

WILD SWINGS

● The annual rainfall figures have fluctuated wildly in the last two decades ● There was excess rainfall in 2021 and 2022, before it went into a slight deficit in 2023



SOURCE IMD

Bank of India's Monetary Policy Committee's (MPC) target of 4% in October 2019, touching a high of 7.8% in April 2022. To be fair, it has eased in recent months and was at a 59-month low of 3.54% in July, but this was partly due to a higher base in the previous year. Food prices have been the most volatile in the index and the consumer food price index has remained stubbornly high, touching 5.42% in July.

An article in RBI's monthly bulletin for August noted that food inflation averaging 6% during the 2020s is a stark contrast to the 2016-20 period, when it averaged just 2.9%. "A key distinguishing factor in this sharp divergence has been the incidence of multiple overlapping supply shocks due to climate events in

the more recent period that impacted the spatial and temporal distribution of monsoons, induced sharp increases in surface temperatures, and caused unseasonal rainfall," the article, titled 'Are Food Prices Spilling Over?', written by RBI Deputy Governor Michael Debabrata Patra, Joice John, and Asish Thomas George, noted. Global climate systems, including triple-dip La Niña events and El Niño conditions seen since 2020, also played a role, it added.

An analysis by the authors reveals that in 57% of the months between June 2020 and June 2024, food inflation was at or above 6%, with around 6 of 12 food sub-groups experiencing 6% and above inflation for 50% or more of these months.

Vegetable price spikes are gen-

erally assumed to be transitory, but double-digit inflation was experienced in this category in 22 out of the 49 months, due to multiple and overlapping shocks, they noted. Double-digit inflation has occurred for 24 months in respect of pulses, oils, and fats and for 30 months in respect of the prices of spices. Other key food sub-groups like cereals and eggs also experienced double-digit inflation for about 15 months.

"As pointed out earlier, adverse supply shocks to both *kharif* and *rabi* crops contributed to the high incidence of double-digit inflation seen in these sub-groups. Extreme inflation pressures of 20% or above have been observed in vegetables, oils and fats, and spices food sub-groups," the article noted.

Among vegetables, consumers